

History tells us that when U.S. stock returns lead the world, equity fund capital flows into international markets decline; and then they soar when non-U.S. issues lead. It's hardly surprising, then, that only 20 percent of equity fund cash flows were directed into non-U.S. funds in 1990-2000, when U.S. stocks vastly outpaced foreign issues. Nor is it surprising that since then, with foreign stocks outpacing U.S. issues, the tables have been turned. (Fully \$220 billion flowed into foreign funds in 2007, and only about \$11 billion into domestic equity funds. Now there's a red flag!) But in the hottest sectors of the international markets, risk is high, so be careful. (Also note that since 1990, the returns of non-U.S. stocks—even including their recent boom—have been dwarfed by the returns on U.S. equities: 6 percent annually versus 10 percent.)

The Innovation Blunderbuss

No objective industry veteran can look at this blunderbuss of innovation with other than a jaundiced eye. The problem is not only that future returns earned on untried and often costly strategies are unpredictable and rarely live up to their hyperbolic promises. The problem is that such a proliferation of idiosyncratic funds that ignore the value of simplicity inevitably results in a fund failure rate that, however rarely publicized, is little short of astonishing. In an earlier book, I wrote that of 355 funds that existed in 1970, only 132 made it through the next 35 years.

In the recent era, of the 6,126 mutual funds that existed at the start of 2001, 3,165 had already been consigned to the dustbin of history by mid-2008. Small wonder that even the portfolio managers who run the funds don't "eat their own cooking." Among 4,356 equity funds, 2,314 managers own no shares—*none*—in the funds they manage. How, I ask, can a less-informed member of the investing public successfully implement a long-term strategy involving mutual funds if only half of all funds can even make it through a period as short as seven years? And how can fund investors muster any faith